Q17

- The neatest response would be to take the forecast to the bank immediately and to admit that there is a danger that the overdraft will exceed the $50,000 limit. The consultancy could then seek an increase in the overdraft limit, even on a temporary basis [1]
- If the bank can see that the company anticipates returning to a positive balance then it might be prepared to grant this request, avoiding the problem altogether [1]
- If the bank is unwilling to increase the overdraft then the consultancy might find it easier to take out a short-term loan that would cover the period of the deficit [1]
- Alternatively, the management team should review the forecast carefully to determine whether there are any payments that might be delayed [1]
- The scheduled purchase of equipment or replacement of company cars might be put off until after the anticipated return to a positive balance [1]
- That would, at the very least, reduce the overdraft to below the $87,000 maximum and, hopefully, even keep it below the $50,000 limit [1]

[6, Max 5]

This question was done quite well by candidates.
Many candidates demonstrated a good understanding of cash flows.
Many candidates achieved a passing score and a good number of candidates scored full marks.